Dividend Payout Ratio

The dividend payout ratio measures the quantum or amount of dividend paid out of earning. This ratio enables an investor to determine how much of the annual earnings is paid out as dividend to shareholders and how much is ploughed back into the company for its long-term growth. This is an important ratio when assessing a company's prospects because if all its income is distributed there would be no internal generation of capital available to finance expansion and to nullify the ravages of inflation and to achieve these the company would have to borrow.

This ratio is calculated by dividing the dividend by net income after tax:

$$\text{Dividend Payout Ratio} = \frac{\text{Dividend}}{\text{Net income after tax}}$$

Normally, young, aggressive growth companies have low dividend payout ratios as they plough back their profits for growth. Mature companies, on the other hand, have high payouts. This is of concern as they may not be retaining capital to renew assets or grow. Investors must also ensure that the dividend is being paid out of current income and not out of retained earnings because that tantamounts to eating into the funding set aside for growth, expansion and replacement of assets.

Illustration

Excel Railings Ltd.'s earnings after tax in the last financial year was Rs. 68 lakh. Of this, it paid a dividend of Rs. 28 lakh. Its dividend payout ratio would be 28/68 = 0.412.

The company distributed 41.2% of its net income as dividends, retaining 58.8% in the business for its growth.